

2008

MASTER OF BUSINESS ADMINISTRATION

[Third Semester]

Full Marks : 100

Time : 3 hours

The figures in the right-hand margin indicate marks

Candidates are required to give their answers in their own words as far as practicable

Illustrate the answers whenever necessary

**Write the answers to questions of each Half
in separate books**

(Specialisation : Financial Management)

PAPER—F-305

(Portfolio Management)

FIRST HALF

[Marks : 50]

(Turn Over)

1. Answer any *four* of the following:

5 × 4

- (a) Write a short note on 'Market Risk' associated with a security.
- (b) Write a note on diversification in reducing portfolio risk.
- (c) Suppose there are 30 securities in a portfolio. What is the requirement of co-variance data and total data under Markowitz model and Sharpe Index model for calculating risk and return of the portfolio?
- (d) SAIL and GAIL corporation have the following risk and return status:

$$R_{\text{SAIL}} = 15\% \quad R_{\text{GAIL}} = 17\%$$

$$\sigma_{\text{SAIL}} = 30\% \quad \sigma_{\text{GAIL}} = 25\%$$

$$r_{\text{SG}} = 0.5.$$

Determine the minimum risk portfolio.

(e) Draw the utility curves for risk-loving, neutral and risk-averse investors.

(f) What is unsystematic risk and what are its sources?

2. Answer any *two* questions from the following: 10×2

(a) Calculate portfolio risk from the following information:

The portfolio is consisting of 4 securities and their proportions in the portfolio are: $x_1 = 0.2$, $x_2 = 0.3$, $x_3 = 0.4$, the standard deviation of returns on these securities are (in percentages): $\sigma_1 = 4$, $\sigma_2 = 8$, $\sigma_3 = 20$, and $\sigma_4 = 10$; the correlation coefficients among security returns are: $r_{12} = 0.3$, $r_{13} = 0.5$, $r_{14} = 0.2$, $r_{23} = 0.6$, $r_{24} = 0.8$, $r_{34} = 0.4$.

(b) Suppose there are two securities in the form of Security *X* and Security *Y*. Security *X* has an expected rate of return of 5% and a standard deviation of 4%, while for security *Y*,

the expected return is 8% and the standard deviation of return is 10%. Show the risk-return profile of the portfolio assuming varying proportion of investment in security *X*. (Take the proportions to be 100%, 75%, 50%, 25% and 0%). Also draw-up the efficient frontier for the portfolio.

(c) You are given following information with respect to six securities :

Security	<i>G</i>	<i>H</i>	<i>I</i>	<i>J</i>	<i>K</i>	<i>L</i>
Return (%)	12	12	18	6	14	12
Risk (%)	6	8	18	6	8	9
(Standard deviation)						

(i) Which of the securities would you select and why ?

(ii) Is it preferable to invest 60% in security *G* and 40% in security *I* on the assumption that there exists perfect correlation ? Show the risk and return of such portfolio.

[*Internal Assessment* : 10 Marks]

SECOND HALF

[Marks : 50]

3. Answer any *four* questions from the following: 5×4

(a) The Security Market Line helps to take buy or sell decisions regarding securities. Give your views.

(b) What do you understand by Formula Plans? Mention its advantages.

(c) Mr. X is an investor. He decides to adopt the constant ratio plan in order to take investment decisions. The initial ratio between the aggressive and conservative components of his portfolio is 1 : 1. The amounts invested in both are Rs. 15,000 (the market price of a share is Rs. 100). He fixes revision points at ± 0.15 levels.

How will he revise his portfolio composition if the share price increases by 12% and then subsequently decreases by 25%?

(d) Mr. Gautam is considering an investment in the stock of AB Ltd. He expects the stock to give a return of 13% in the next year. AB Ltd.'s beta is 1.25 and the market return is 12.5%. Given that the risk-free rate of return is 8%, should he invest in AB Ltd. ?

(e) "The CML relationship is a special case of the CAPM." Elaborate the statement.

(f) Write a short note on Mutual Funds.

4. Answer any *two* questions from the following: 10×2

(a) You are required to

(i) Mention the assumptions of the CAPM.

(ii) Explain the concept of a Capital Market Line.

5 + 5

(b) A mutual fund analyst collected information relating to past performance of five funds and the market index :

<i>Funds</i>	<i>Returns (%)</i>	<i>Standard Deviation (%)</i>	<i>Beta (β)</i>
<i>A</i>	16	25	1.20
<i>B</i>	15	20	0.95
<i>C</i>	9	15	0.85
<i>D</i>	20	16	1.10
<i>E</i>	18	18	1.05
<i>Market Index</i>	15	14	1.00

Based on the above information you are required to rank the funds based on Sharpe Ratio, Treynor Ratio and Jensen's measure. Assume the risk-free rate of return is 8%. Explain the behaviour of rankings. 10

- (c) Describe how the Jensen measure of performance is calculated. Explain how each of Jensen, Sharpe and Treynor measures relates excess return and the relevant risk. 6 + 4

[*Internal Assessment* : 10 Marks]

(*Specialisation : Marketing Management*)

PAPER—M-305

(*Advertising and Sales Promotion Management*)

FIRST HALF

[Marks : 50]

1. Answer any *four* questions of the following: 5×4

(a) Define Advertisement Agency. Give four examples of Ad agency. What are GRPs (Gross Rating Points)? $3 + 2$

(b) Write short note on Idea Advertising and Surrogate Advertising. $2\frac{1}{2} + 2\frac{1}{2}$

(c) Briefly describe the social and ethical issues of Advertising. $2\frac{1}{2} + 2\frac{1}{2}$

(d) Define Brand Image and Brand Equity. $2\frac{1}{2} + 2\frac{1}{2}$

(e) Does Celeb Ad Blitz really push up sales—
Give an analytical view. 5

(f) What are Top-Down and build up budgeting
approaches? 5

2. Answer any *two* questions from the following: 10×2

(a) Examine the various advertising media
available to a car manufacturing firm in
India. 10

(b) What do you understand by the term advertising
budget of a firm? What are the different ways
of setting advertising budget of a FMCG
firm? 4 + 6

(c) What is DAGMAR Approach? Who developed
the approach? Describe the approach and write
briefly about the criticism of DAGMAR
Approach. 1 + 1 + 8

[*Internal Assessment* : 10 Marks]

SECOND HALF

[Marks : 50]

3. Answer any *four* of the following questions : 5 × 4

(a) How does 'Sales Promotion' differ from 'Advertising' ?

(b) State the basic objectives of sales promotion.

(c) Differentiate between "In-pack premium" and "On pack premium" with suitable examples.

(d) "Public Relations is a management function rather than a marketing function." Justify the statement.

(e) Explain the concept of "Crisis Management" in the perspective of marketing.

(f) How is a 'Deal prone consumer' influenced by sales promotion ?

4. Answer any *two* questions of the following 10 × 2

(a) Briefly discuss the basic objectives pursued through Trade Oriented Sales Promotion.

- (b) Outline the various schemes of promotions usually adopted for the sales force of a firm engaged in manufacturing consumer goods.
- (c) Explain the role of sales promotion towards influencing consumers' price perception.

[*Internal Assessment* : 10 Marks]
